Hotel Brendle Pro Forma

Executive Summary

Hotel Brendle, a historic 66-unit property in Robstown, Texas, offers a compelling investment with immediate cash flow and significant value growth potential as the birthplace of Texas Hold'em. This pro forma provides standardized financial projections (average monthly, quarterly, and annualized) for 2025–2029, reflecting updated Phase 1 revenue at an average $650/month rental rate and a cash-out refinance loan. With Debt Service Coverage Ratios (DSCRs) ranging from 2.20 to 5.97, positive cash flows post-renovation, and a projected ROI of 470.2%, this plan is designed to instill lender confidence.

Assumptions

Category	Details
Initial Debt	$250,000 at 3% interest, 30-year term, paid off in Phase 1 refinance (Q1 2025).
Current Operations (June 2025)	27 rooms rented at $650/month average. Monthly revenue: $17,550 (27 × $650).
Monthly Expenses	Average $9,000: Utilities ($3,000), Insurance ($1,500), Property Taxes ($2,000), Labor ($2,000), Maintenance ($500).
Expense Scaling	Labor and maintenance increase 2% per additional room beyond 27; other expenses grow 3% annually.
Renovation Costs	**Phase 1 (Q1-Q3 2025, 9 months):** $160,000 (Engineer: $30,000, Architect: $30,000, Light Repairs: $35,000, Building 2 Optimization to 31 rooms: $65,000). **Phase 2 (Q4 2025-Q4 2026, 15 months):** $540,000 (36 units at $15,000/unit, including $50,000 engineering/planning for Building 1). **Total:** $700,000.
Financing	**Phase 1 Cash-Out Refinance (Q1 2025):** $410,000 ($160,000 renovations + $250,000 mortgage payoff), 5% interest, 25-year amortization. **Phase 2 Construction Loan:** $540,000, 5% interest, interest-only (15 months). **Phase 2 Refinance (Q1 2027):** $540,000, 5% interest, 25-year amortization.

Rental Rates Post-Renovation	$750/month for all units (post-Phase 2).
Occupancy Rates	Current: 90% (27/30 units). Post-Phase 1: 90% (31 units, 28 occupied). Post-Phase 2: 92% (66 units, 61 occupied).
Cap Rate	8% for valuation.
DSCR Requirement	Minimum 1.25 for lenders.
Holding Period	5 years (2025–2029).
Exit Strategy	Sale at Year 5 ARV or continued operation for stable cash flow.

Financing Details

Loan Type	Amount	Interest Rate	Term	Monthly Payment	Annual Payment
Initial Loan	$250,000.00	3%	30 years	$1,053.66	$12,643.92
Phase 1 Cash-Out Refinance (Q1 2025)	$410,000.00	5%	25 years	$2,398.04	$28,776.48
Phase 2 Construction Loan	$540,000.00	5% (interest-only)	15 months	$2,250.00	$27,000.00
Phase 2 Refinance (Q1 2027)	$540,000.00	5%	25 years	$3,159.39	$37,912.68

Financial Projections (2025–2029)

Year 1 (2025): Building 2 Optimization

- **Average Monthly Projections:**

Category	Amount
Revenue	$17,966.67

Expenses	$9,110.00
Net Operating Income (NOI)	$8,856.67
Debt Service	$2,398.04
Cash Flow Before Renovation	$6,458.63
Renovation Costs	$13,333.33
Net Cash Flow	($6,874.70)
DSCR	3.69

- **Quarterly Projections:**

Quarter	Revenue	Expenses	NOI	Debt Service	Cash Flow	Renovation Costs	Net Cash Flow
Q1	$52,650.00	$27,000.00	$25,650.00	$7,194.12	$18,455.88	$53,333.33	($34,877.45)
Q2	$52,650.00	$27,000.00	$25,650.00	$7,194.12	$18,455.88	$53,333.33	($34,877.45)
Q3	$54,600.00	$27,540.00	$27,060.00	$7,194.12	$19,865.88	$53,333.33	($33,467.45)
Q4	$54,600.00	$27,540.00	$27,060.00	$7,194.12	$19,865.88	$0.00	$19,865.88
Annual	**$215,600.00**	**$109,080.00**	**$106,520.00**	**$28,776.48**	**$77,743.52**	**$160,000.00**	**($82,456.48)**

- **Notes:**
    - **Revenue:** Q1–Q2: 27 units at $650 ($17,550/month); Q3–Q4: 31 units at 90% occupancy (28 × $650 = $18,200/month).
    - **Expenses:** Q1–Q2: $9,000/month; Q3–Q4: $9,180/month (2% increase for 4 additional rooms).
    - **Debt Service:** Phase 1 cash-out refinance ($2,398.04/month) starts Q1 2025.
    - **Renovation Costs:** $160,000 over Q1–Q3 ($53,333.33/quarter).
    - **DSCR (Annual):** $106,520.00 ÷ $28,776.48 = **3.70**

Year 2 (2026): Post-Phase 1, Building 1 Renovation

- **Average Monthly Projections:**

Category	Amount
Revenue	$18,200.00
Expenses	$9,447.90
Net Operating Income (NOI)	$8,752.10
Debt Service	$4,648.04
Cash Flow Before Renovation	$4,104.06
Renovation Costs	$36,000.00
Net Cash Flow	($31,895.94)
DSCR	1.88

- **Quarterly Projections:**

Quarter	Revenue	Expenses	NOI	Debt Service	Cash Flow	Renovation Costs	Net Cash Flow
Q1	$54,600.00	$28,343.70	$26,256.30	$13,944.12	$12,312.18	$108,000.00	($95,687.82)
Q2	$54,600.00	$28,343.70	$26,256.30	$13,944.12	$12,312.18	$108,000.00	($95,687.82)
Q3	$54,600.00	$28,343.70	$26,256.30	$13,944.12	$12,312.18	$108,000.00	($95,687.82)
Q4	$54,600.00	$28,343.70	$26,256.30	$13,944.12	$12,312.18	$108,000.00	($95,687.82)
Annual	**$218,400.00**	**$113,374.80**	**$105,025.20**	**$55,776.48**	**$49,248.72**	**$432,000.00**	**($382,751.28)**

- **Notes:**
  - **Revenue:** 31 units at 90% occupancy (28 × $650 = $18,200/month).
  - **Expenses:** $9,180 × 1.03 = $9,447.90/month ($28,343.70/quarter).

- **Debt Service:** Phase 1 refinance ($2,398.04) + Phase 2 construction loan ($2,250).
- **Renovation Costs:** $432,000 over 12 months ($108,000/quarter).
- **DSCR (Annual):** $105,025.20 ÷ $55,776.48 = **1.88**

Year 3 (2027): Post-Phase 2 Completion

- **Average Monthly Projections:**

Category	Amount
Revenue	$45,675.00
Expenses	$11,789.88
Net Operating Income (NOI)	$33,885.12
Debt Service	$5,557.43
Cash Flow Before Renovation	$28,327.69
Renovation Costs	$9,000.00
Net Cash Flow	$19,327.69
DSCR	6.10

- **Quarterly Projections:**

Quarter	Revenue	Expenses	NOI	Debt Service	Cash Flow	Renovation Costs	Net Cash Flow
Q1	$137,025.00	$35,369.64	$101,655.36	$16,672.29	$84,983.07	$108,000.00	($23,016.93)
Q2	$137,025.00	$35,369.64	$101,655.36	$16,672.29	$84,983.07	$0.00	$84,983.07
Q3	$137,025.00	$35,369.64	$101,655.36	$16,672.29	$84,983.07	$0.00	$84,983.07

Q4	$137,025.00	$35,369.64	$101,655.36	$16,672.29	$84,983.07	$0.00	$84,983.07
Annual	**$548,100.00**	**$141,478.56**	**$406,621.36**	**$66,689.16**	**$339,932.28**	**$108,000.00**	**$231,932.28**

- **Notes:**
  - **Revenue:** 66 units at 92% occupancy (61 × $750 = $45,675/month).
  - **Expenses:** $9,447.90 × 1.03 × 1.02^35 = $11,789.88/month ($35,369.64/quarter; 35 additional rooms from 27 to 62).
  - **Debt Service:** Phase 1 + Phase 2 refinanced loans ($2,398.04 + $3,159.39).
  - **Renovation Costs:** $108,000 in Q1 ($36,000/month).
  - **DSCR (Annual):** $406,621.36 ÷ $66,689.16 = **6.10**

Year 4 (2028): Stabilized Operations

- **Average Monthly Projections:**

Category	Amount
Revenue	$45,675.00
Expenses	$12,143.58
Net Operating Income (NOI)	$33,531.42
Debt Service	$5,557.43
Net Cash Flow	$27,973.99
DSCR	6.03

- **Annual Projections:**

Category	Amount
Revenue	$548,100.00

Expenses	$145,722.96
- Utilities	$38,181.24
- Insurance	$19,090.62
- Property Taxes	$25,454.16
- Labor	$50,371.56
- Maintenance	$12,592.89
Net Operating Income (NOI)	$402,377.04
Debt Service	$66,689.16
Net Cash Flow	$335,687.88
DSCR	6.03

Year 5 (2029): Stabilized Operations

- **Average Monthly Projections:**

Category	Amount
Revenue	$45,675.00
Expenses	$12,507.88
Net Operating Income (NOI)	$33,167.12
Debt Service	$5,557.43
Net Cash Flow	$27,609.69
DSCR	5.97

- **Annual Projections:**

Category	Amount
Revenue	$548,100.00
Expenses	$150,094.56
- Utilities	$39,326.68
- Insurance	$19,663.34
- Property Taxes	$26,217.78
- Labor	$51,882.71
- Maintenance	$12,970.68
Net Operating Income (NOI)	$398,005.44
Debt Service	$66,689.16
Net Cash Flow	$331,316.28
DSCR	5.97

Summary of Key Financial Metrics

Year	NOI	Debt Service	DSCR	Net Cash Flow	ARV (8% Cap)
2025	$106,520.00	$28,776.48	3.70	($82,456.48)	$2,760,000.00
2026	$105,025.20	$55,776.48	1.88	($382,751.28)	$2,760,000.00
2027	$406,621.36	$66,689.16	6.10	$231,932.28	$5,082,767.00
2028	$402,377.04	$66,689.16	6.03	$335,687.88	$5,029,713.00
2029	$398,005.44	$66,689.16	5.97	$331,316.28	$4,975,068.00

Return on Investment (ROI)

Category	Amount
Total Investment	$950,000.00
- Purchase Price (Debt)	$250,000.00
- Renovation Costs	$700,000.00
Total Cash Out from Refinancing	$0.00
Total Cash Flow (Years 1–5)	$433,728.68
Property Value (Year 5 ARV)	$4,975,068.00
Total Return	$4,458,796.68
ROI	470.2% (over 5 years)
Annualized ROI	33.3% per year

- **Notes:**
  - **Total Cash Flow:** ($82,456.48) + ($382,751.28) + $231,932.28 + $335,687.88 + $331,316.28 = $433,728.68
  - **Total Return:** $433,728.68 (cash flow) + $4,975,068.00 (ARV) - $950,000.00 (investment) = $4,458,796.68

Sensitivity Analysis

Scenario	Occupancy Rate	NOI (Year 5)	ARV (8% Cap)	DSCR (Year 5)
Base Case	92%	$398,005.44	$4,975,068.00	5.97
Low Occupancy (85%)	85% (56 units)	$366,960.00	$4,587,000.00	5.50
High Expenses (+10%)	92%	$382,996.08	$4,787,451.00	5.74
Interest Rate (+1%)	92%	$398,005.44	$4,975,068.00	5.64 (Debt: $70,631.76)

Risk Mitigation Strategies

Strategy	Description
Conservative Assumptions	Occupancy (90–92%) below market averages; expenses include 3% annual growth and 2% room-based scaling.
Phased Renovations	Phase 1 (9 months) optimizes Building 2 to 31 units; Phase 2 (15 months) renovates Building 1 with minimal disruption.
Low Debt Strategy	Refinancing covers only $410,000 (Phase 1) and $540,000 (Phase 2), with low debt service ($66,689.16/year post-2027).
Market Advantage	Cultural significance as the birthplace of Texas Hold'em drives tenant demand and branding potential.
Exit Strategy Flexibility	Sale at $4.975M (Year 5 ARV) or continued operation with $331,316.28 annual cash flow.

Conclusion

This pro forma for Hotel Brendle delivers a clear, standardized financial outlook with updated Phase 1 revenue at $650/month average rental rate and a cash-out refinance loan. Starting with $17,550 monthly revenue from 27 units, the project achieves robust DSCRs (1.88–6.10), positive cash flows post-renovation ($331,316.28 in Year 5), and a 470.2% ROI over 5 years. By limiting debt to cover only construction loans and the initial mortgage, the plan minimizes risk while maximizing value through a $4.975M ARV. The property's operational stability and cultural appeal make it a low-risk, high-reward investment for financial institutions.